



ESSENTIAL CONCEPTS IN MACROECONOMICS



1 NATIONAL INCOME ACCOUNTING

NATIONAL INCOME AGGREGATES

GDP

(Gross Domestic Product)
Market Value of final Goods & Services produced WITHIN domestic territory in a year (Location-based)

$$C + I + G + (X - M)$$



GNP

(Gross National Product)
GDP + Net Factor Income from Abroad (NFIA)
Produced by NATION'S RESIDENTS regardless of location (Citizenship-based)

NFIA = Income from residents abroad - Income by non-residents in India



NDP

(Net Domestic Product)
GDP - Depreciation (Wear & Tear)
Net

NNP

(Net National Product)
GNP - Depreciation
NNP at Factor Cost = National Income (Most precise measure)

2 REAL vs NOMINAL GDP

NOMINAL GDP	REAL GDP	Formula
Current Market Prices Affected by price changes Includes inflation	Constant Prices (from a Base Year) Adjusted for inflation Shows volume growth	$\frac{\text{Nominal GDP}}{\text{Real GDP}} \times 100$

Base Year = Currently 2011-12 in India

$$\text{GDP DEFLATOR} = \frac{\text{Nominal GDP}}{\text{Real GDP}} \times 100$$

Measures overall price level changes



3 INFLATION & RELATED CONCEPTS



INFLATION

- Persistent rise in general price level

HEADLINE INFLATION

- Overall inflation index
→ CPI (Consumer Price Index) measures prices at retail level (CSO)
→ WPI (Wholesale Price Index) measures prices at wholesale level (Office of Economic Adviser)
→ Core Inflation → Headlines → Food - Fuel

CORE INFLATION

Headline Inflation MINUS volatile items like Food and Fuel → Shows underlying trend

STAGFLATION

Economic stagnation + High Inflation + High Unemployment

DEFLATION

Decrease in general price level. (Negative inflation)

4 UNEMPLOYMENT TYPES

- STRUCTURAL** Skills mismatch due to economic shifts. (Old skill vs new skill)
- CYCLICAL** Due to business cycle downturns (Recessions). (Factory closures)
- FRICTIONAL** Temporary between jobs. (Job search)
- DISGUISED** More people employed than needed (Common in agriculture). Marginal productivity = 0. (Too many farmers on small plot)

5 FISCAL DEFICIT & BUDGET DEFICITS



$$\text{FISCAL DEFICIT} = \text{Total Govt. Expenditure} - \text{Total Govt. Receipts (Excluding Borrowings)}$$

Shows Fiscal Health

REVENUE DEFICIT

- Revenue Expenditure > Revenue Receipts
- Govt. needs to borrow to fund consumption (Salaries, Interest, Subsidies)

PRIMARY DEFICIT

- Fiscal Deficit - Interest Payments
- Measures deficit excluding past debt burden

6 EXTERNAL SECTOR & EXCHANGE RATES

BALANCE OF PAYMENTS (BoP)

Records all transactions

CURRENT ACCOUNT

- Goods - (Trade Balance)
- Services: (Invisibles)
- Income (Profit, Dividends)
- Transfers (Remittances)

CAPITAL ACCOUNT

- Foreign Investments (FDI, FPI)
- External Borrowings (ECBs)
- Non-Resident Deposits
- Changes in foreign assets/liabilities

EXCHANGE RATE SYSTEMS

FIXED

Rate pegged by Central Bank (e.g., to gold, major currency)
Strict control

FLOATING

Market forces (demand/supply) determine the rate.

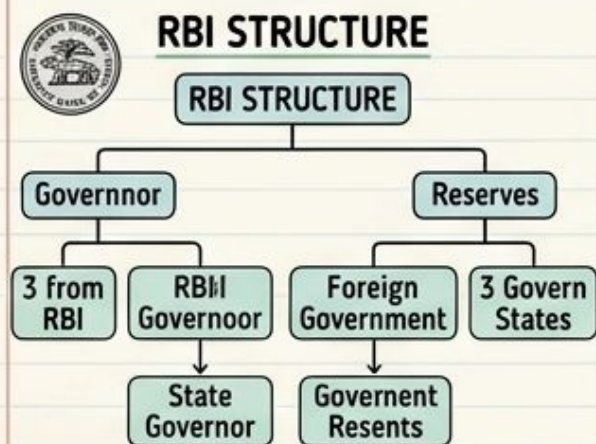
MANAGED FLOAT (Managed Dirty Float)

Market forces primary, but Central Bank intervenes to curb excessive volatility. (e.g., in India)

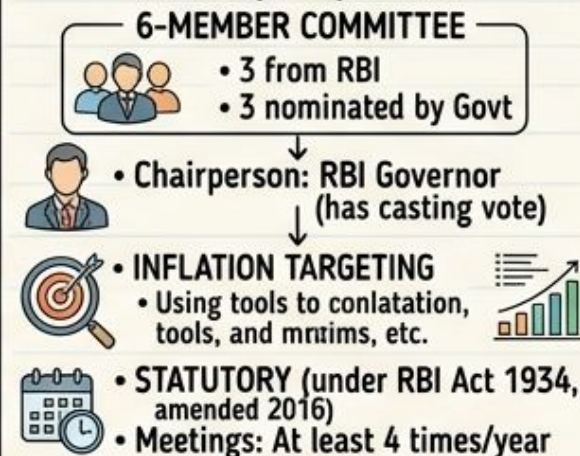
MONETARY & BANKING SYSTEM IN INDIA: RBI & KEY CONCEPTS (UPSC PRELIMS 2026)

1. ROLE & FUNCTIONS OF RBI (RESERVE BANK OF INDIA)

- Established 1935 (Hilton Young Commission)
- Nationalised 1949
- MAJOR ROLES:



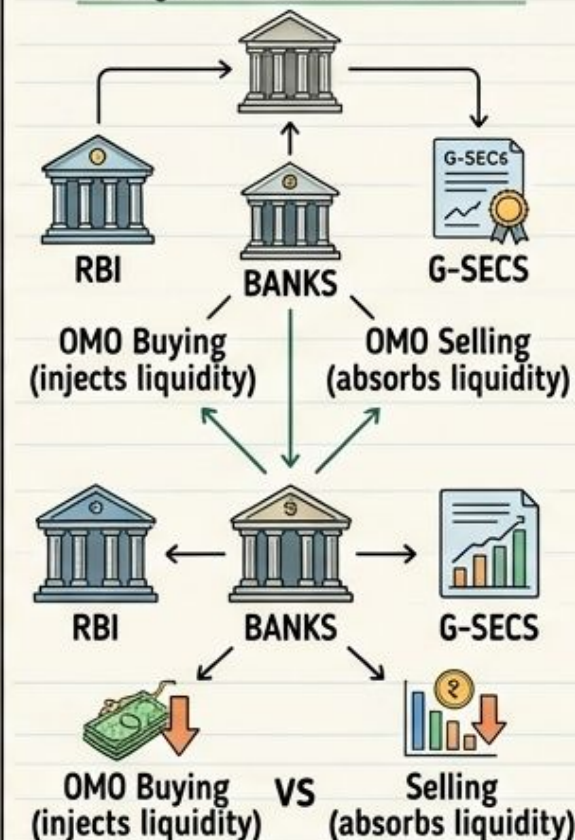
2. MONETARY POLICY COMMITTEE (MPC)



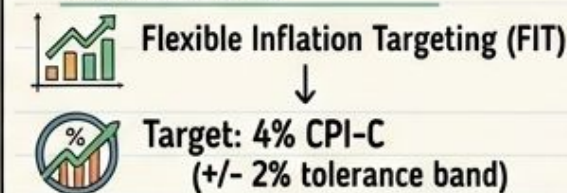
3. POLICY RATES & RATIOS

INSTRUMENT	DESCRIPTION	EFFECT
REPO RATE	Lending to Banks by RBI	↑ Money supply
REVERSE REPO	RBI absorbing liquidity	↑ Money supply
MSF	Emergency lending	↑ ↓
BANK RATE	Long-term lending	↑ ↓
CRR	Cash with RBI No interest	↑ ↓
SLR	Liquid assets with banks - • Gold • G-Secs, Cash	↑ ↓

4. OPEN MARKET OPERATIONS (OMO) & LIQUIDITY MANAGEMENT



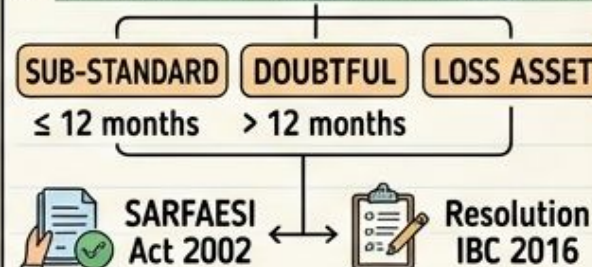
5. INFLATION TARGETING FRAMEWORK



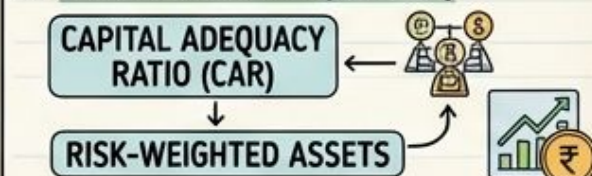
6. DIGITAL CURRENCY (CBDC)



7. NON-PERFORMING ASSETS (NPAs)



8. BASEL NORMS (I, II, III)



9. FINANCIAL INCLUSION INITIATIVES



RBI: CENTRAL BANK & MONETARY POLICY (UPSC 2026 Prep)

I. ROLE & FUNCTIONS OF RBI (est. 1934)



1.1. MONETARY AUTHORITY



- Formulates, Implements Monetary Policy (Target: Price Stability with Growth)

1.2. ISSUER OF CURRENCY



- Manages Currency Notes (₹) except ₹1 notes & coins (Min. Fin.)
- Controls circulation.



1.3. BANKER TO GOVT

Manages Central & State Govt accounts; Public Debt Management.



1.4. BANKER TO BANKS

- Maintains Bank accounts; "LENDER OF LAST RESORT" for commercial banks.

1.5. REGULATOR OF FINANCIAL SYSTEM



- Sets rules for Banks & NBFCs
- Protects depositors, maintains stability.

1.6. MANAGER OF FOREIGN EXCHANGE



- Manages FOREX Reserves & Forex market interventions.

ACTS AS SUPERVISOR

II. MONETARY POLICY COMMITTEE (MPC)

2.1. COMPOSITION



MEMBERS:

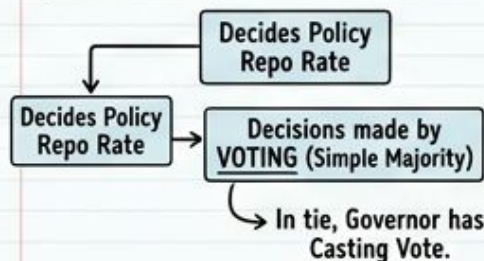
- RBI Governor (Chairperson), Dy. Governor, Exec. Director; plus 3 Externals

2.2. OBJECTIVES & MANDATE



- Price Stability is primary (Target: 4% +/- 2%, i.e., 2%-6%)
- Sustaining Growth is secondary.

2.3. FUNCTIONS



III. POLICY RATES (THE TOOLBOX)

3.1. REPO RATE



- Rate RBI lends short-term to banks AGAINST COLLATERAL (G-Secs).
- Increases to fight Inflation (Dear Money Policy)

3.2. REVERSE REPO RATE



- Rate banks park funds with RBI.
- Lower than Repo. (Mostly replaced by SDF as floor)

3.3. SDF (Standing Deposit Facility)



- Absorbs liquidity without offering G-Secs.
- The new policy corridor floor

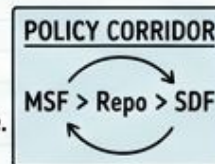
3.4. MSF (Marginal Standing Facility)



- Overnight facility for banks to borrow under stress.
- Higher than Repo.
- Use G-Secs from SLR quota up to a limit.

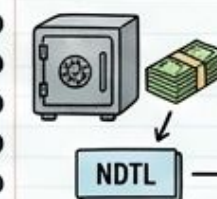
3.5. BANK RATE

- Long-term lending rate.
- Used to be policy rate; now mostly a penalty rate.
- Aligned to MSF.



IV. CRR & SLR (RESERVE RATIOS)

4.1. CASH RESERVE RATIO (CRR)



- % of Net Demand and Time Liabilities (NDTL) kept MANDATORILY WITH RBI in CASH.
- No interest paid by RBI.

- ★ Powerful tool for liquidity management.

4.2. STATUTORY LIQUIDITY RATIO (SLR)



- % of NDTL maintained MANDATORILY WITH THE BANK ITSELF in LIQUID ASSETS: CASH, GOLD, or approved G-Secs.
- Promotes stability and govt borrowing. Can affect G-Sec yields.

4.3. SUMMARY TABLE & IMPACT

Tool	Current Rate (Illustrative %)	Change	Impact on Liquidity	Impact on Inflation/Growth
Current Rate	10 %	→	★	★
Impact/Growth	~10 %	→	—	★

UPSC Prelims focus: Rationale, impact, transmission, exceptions.

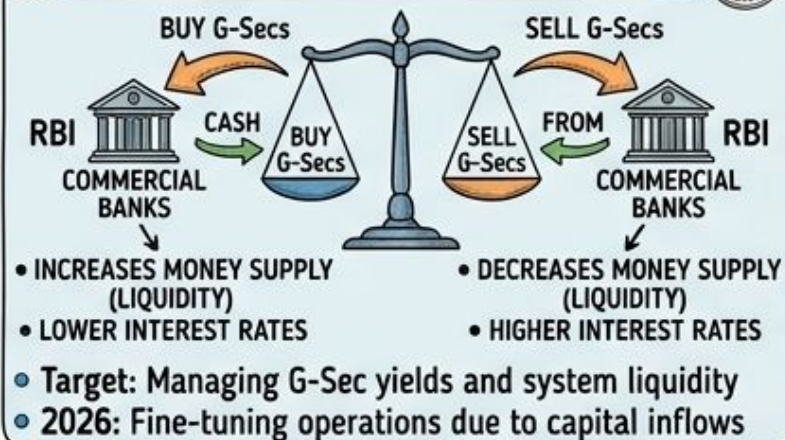
ABHISHA AI

by Abhishek Pathak

ECONOMY QUICK REVISION

PRELIMS 2026

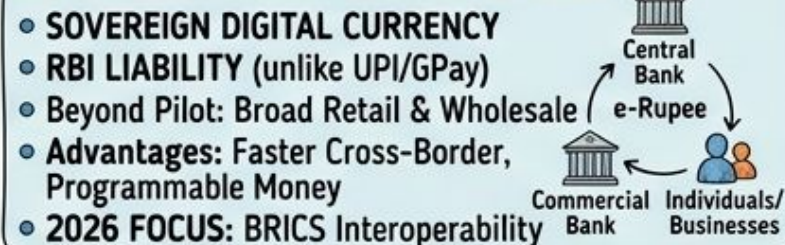
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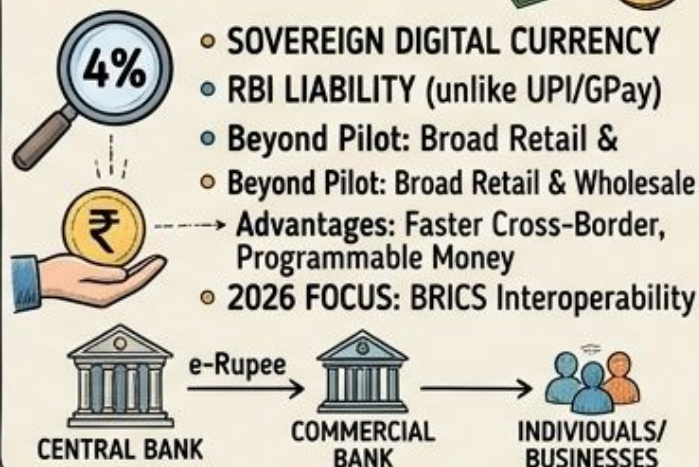
2 INFLATION TARGETING (RETAINED)



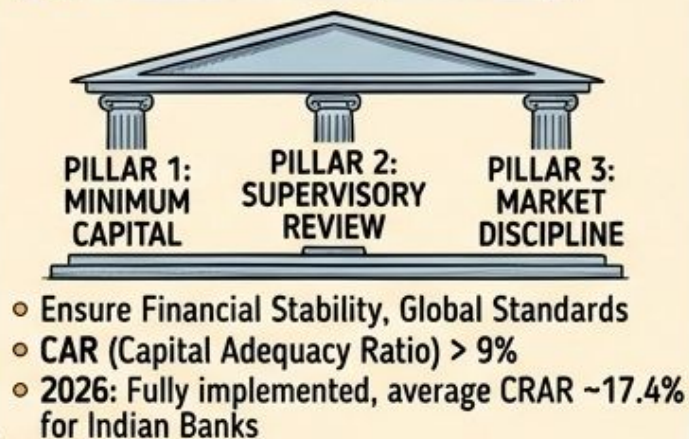
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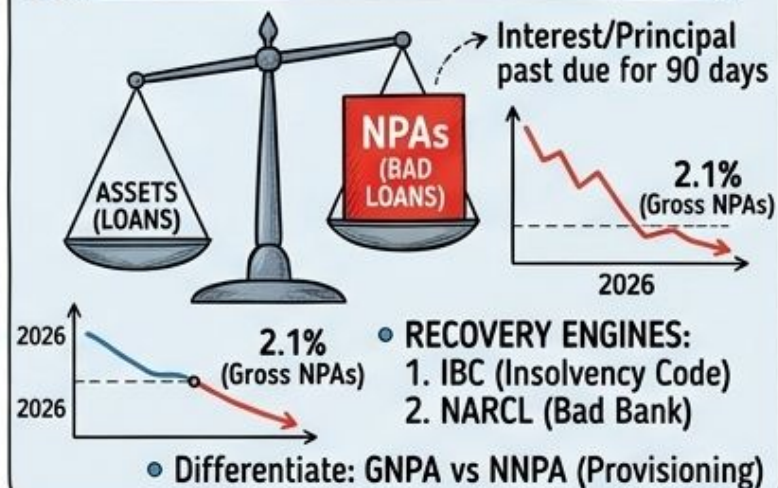
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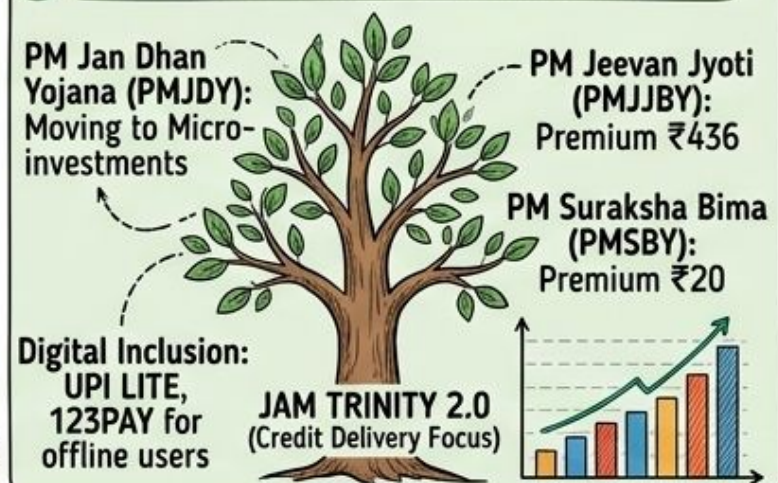
5 BASEL NORMS (BASEL III)



4 NON-PERFORMING ASSETS (NPAs)



6 FINANCIAL INCLUSION INITIATIVES



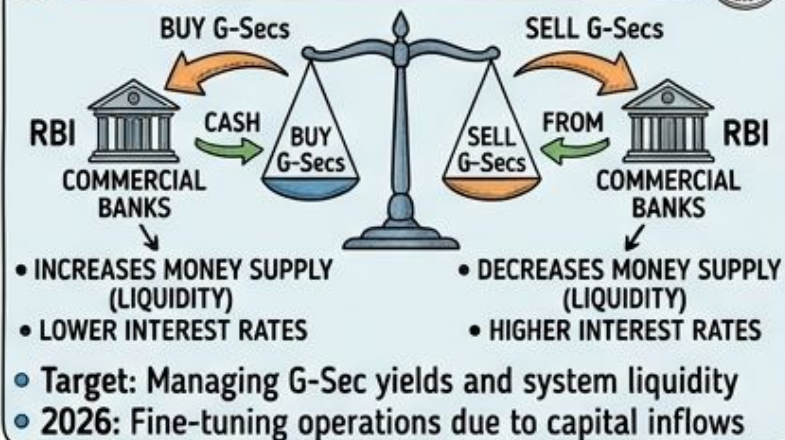
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APRIL 2026

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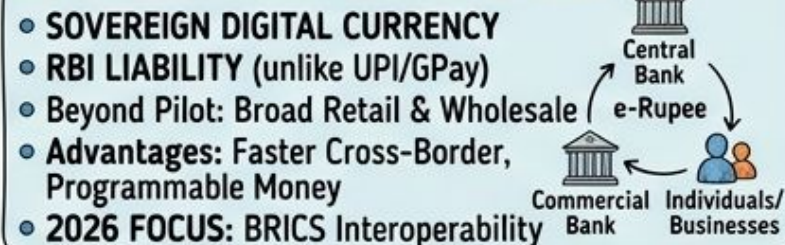
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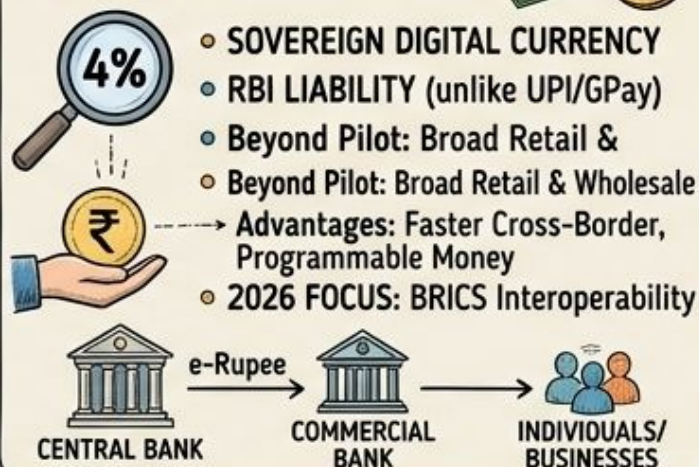
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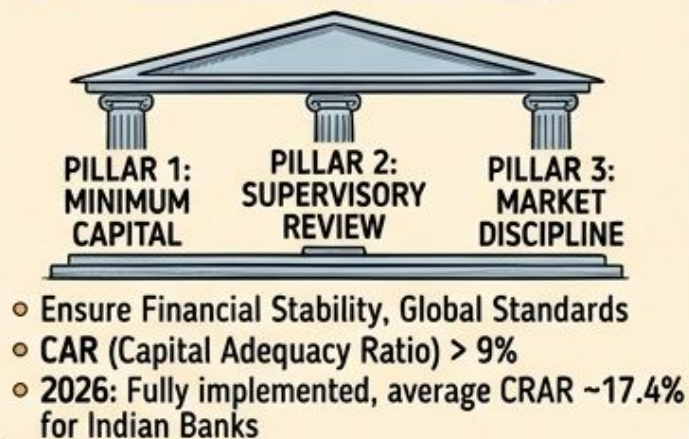
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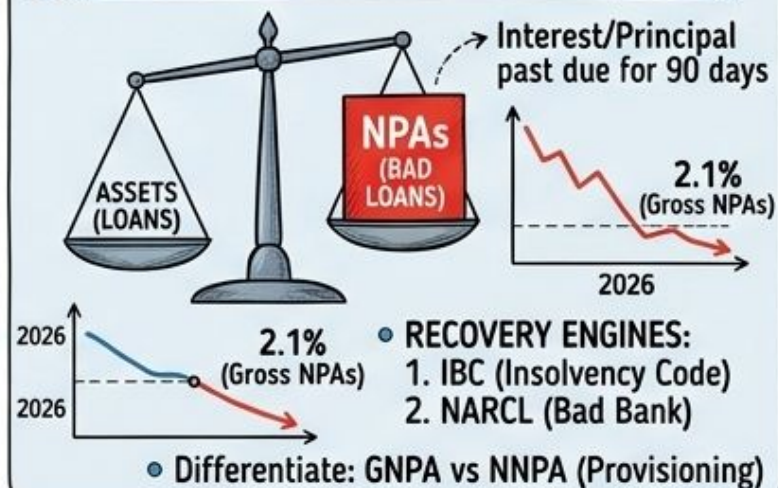
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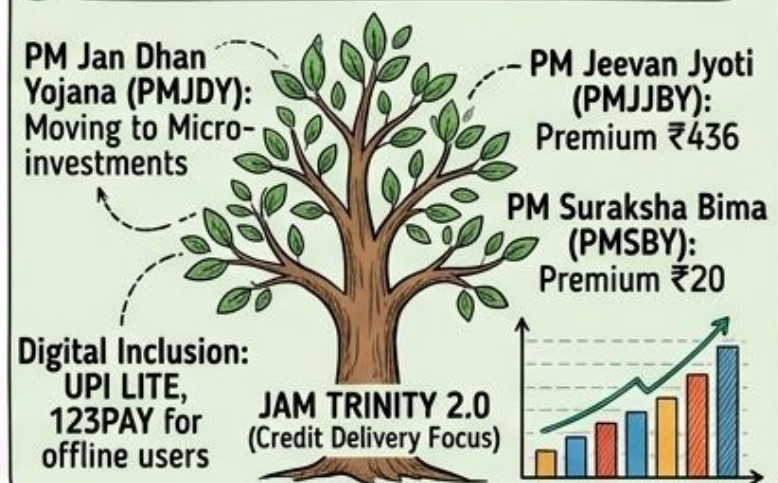
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6 FINANCIAL INCLUSION INITIATIVES



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UNION BUDGET & FISCAL STRUCTURE: UPSC PRELIMS 2026

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UNION BUDGET STRUCTURE (Art. 112)

REVENUE BUDGET (Non-asset, Non-liability)

REVENUE RECEIPTS:

- Tax (Direct, Indirect)
- Non-Tax (Interest, Dividends)

REVENUE EXPENDITURE:

- Salaries, Interest Payments
- Subsidies (Food, Fert, Fuel)
- Defence (Maintainance)
- Grants to States



CAPITAL BUDGET (Asset-creating, Liability-reducing)

CAPITAL RECEIPTS:

- Borrowings (Market, External)
- Disinvestment
- Recovery of Loans

CAPITAL EXPENDITURE:

- Infrastructure (Roads, Rail)
- Loans to States
- Debt Repayment

REVENUE DEFICIT (RD)
= Rev. Exp - Rev. Receipts

FISCAL DEFICIT (FD)
= Total Exp - Non-debt Receipts

THE THREE FUNDS VS. INDIRECT TAXES

CONSOLIDATED FUND OF INDIA

- All revenues, loans, recoveries.
- Expenditure requires Parliamentary Approval (Appropriation Bill).



PUBLIC ACCOUNT OF INDIA

- Money held in trust (e.g., PF, Small Savings)
- Executive Action.
- No voting.



CONTINGENCY FUND OF INDIA

- Unforeseen emergencies.
- President's Fund, later recouped.
- Held by Finance Secretary.



GOODS & SERVICES TAX (GST) & COUNCIL

GST STRUCTURE

- One Nation, One Tax.
- Multi-stage, Destination-based.
- Dual GST (CGST, SGST, IGST)
- Slabs:
 - 0%, 5% (Essential)
 - 12%, 18% (Standard)
 - 28% (Demerit/Sin Goods)



GST COUNCIL (Art. 279A)

- Decision-making body.
- Union Finance Minister (Chairperson).
- Decision: 3/4th majority.
- Decision:
 - Center Vote: 1/3,
 - States Vote: 2/3.



THE THREE FUNDS OF INDIA (Art. 266, 267)

CONSOLIDATED FUND OF INDIA

- All revenues, loans, recoveries.
- Expenditure requires Parliamentary Approval (Appropriation Bill).



PUBLIC ACCOUNT OF INDIA (Art. 266(2))

- Money held in trust (e.g., PF, Small Savings).
- Executive Action.
- No voting.



CONTINGENCY FUND OF INDIA

- Unforeseen emergencies.
- President's Fund, later recouped.
- Held by Finance Secretary.



TAXATION: DIRECT VS. INDIRECT TAXES

GST STRUCTURE

- One Nation, One Tax.
- Multi-stage, Destination-based.
- Dual GST (CGST, SGST, IGST)



GST COUNCIL (Art. 279A)

- Decision-making body.
- Union Finance Minister (Chairperson).
- Decision: 3/4th (Imports/Exports).

Slabs	0%	5%	12%	28%
		(Essential)	(Standard)	(Dem/Sin Goods)
Center Vote:	1/3	1/3	2/3	2/3



SUBSIDIES (CFI Expenditure)

- Major Subsidies:
 - FOOD (PDS)
 - FERTILIZER (Urea, DAP)
 - FUEL (LPG, Kerosene- dwindling)



FRBM ACT & SUBSIDIES

FRBM ACT

- Fiscal Responsibility and Budget Management Act (2003).
- To bring fiscal discipline.
- Targets (revised):
 - Fiscal Deficit < 3% (ideal)
 - Revenue Deficit < 1.5%.



Major Subsidies:

- FOOD (PDS)
- FERTILIZER (Urea, DAP)
- FUEL (LPG, Kerosene- dwindling)



PUBLIC DEBT MANAGEMENT

Total liabilities of Central Govt.
Internal Debt (Dominated in INR, less risk) + External Debt
(From institutions, foreign govts)

Primary Deficit = Fiscal Deficit - Interest Payments

Key Focus: Sustaining Debt-to-GDP ratio.
Debt Service (Interest) can reduce developmental spending.



(1) INTERNATIONAL MONETARY FUND (IMF).
Logon of Financial Stability



• **Functions:**

- **Financial Assistance:** Loans for Balance of Payment (BoP) Crises
 - Short to medium term. Emergency financing
- **Surveillance:** Global Economic Trends & Member Policy
 - Article IV consultations
 - Key Reports: *World Economic Outlook*, *Global Financial Stability Report*
- **Capacity Development:** Technical assistance, training for fiscal/monetary policies.

• **Special Drawing Rights (SDR):**

- International Reserve Asset. NOT a currency, but a potential claim.
- Currency Basket (Reviewed every 5 years):

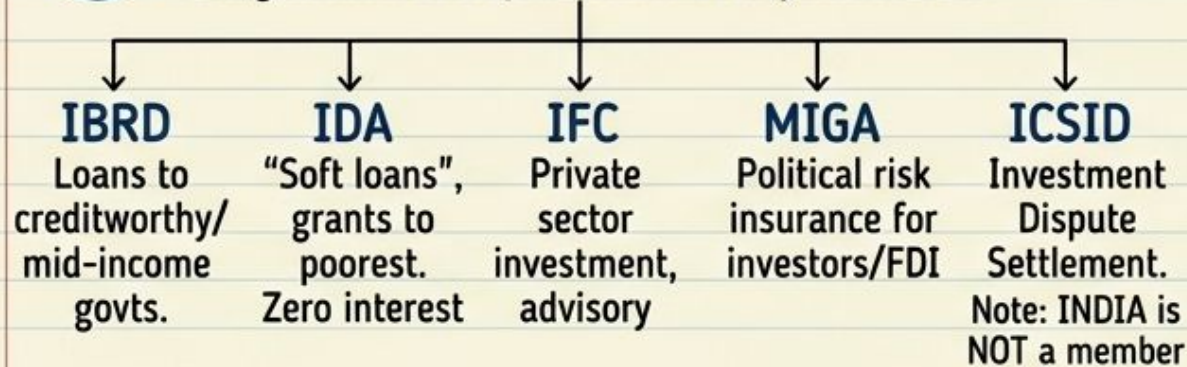


- US Dollar (High weight), Euro
- Chinese Yuan (RMB), Japanese Yen, British Pound.

(2) WORLD BANK GROUP (WBG)



Long-term Development & Poverty Reduction



(3) WTO STRUCTURE

Highest: Ministerial Conference (Every 2 years)

↳ General Council (Handles day-to-day. Includes Dispute Settlement Body & Trade Policy Review Body)

- **Decision Making:** Consensus (NOT voting)

- **Key Principles:** MFN (No discrimination)

National Treatment (Equal treatment for foreign goods)

(4) TRADE AGREEMENTS



(5) FOREIGN DIRECT INVESTMENT (FDI)

- Long-term investment into productive capacity.
- 10% or more stake in listed company (Mayaram Committee)
- Types: Greenfield (New facilities), Brownfield (Buying existing)
- Routes in India: Automatic Route (No prior approval)



Government Route (Approval needed via FIFP)

(6) CURRENCY DEPRECIATION & APPRECIATION

- **Appreciation:** Value increases via market market forces.
- **Exports competitive**
- **Exports competitive**
- **Depreciation:** Value decreases via market Exports costlier.
- **Imports expensive** (e.g., Oil, leads to Imported Inflation)
- **Fixed Rate:** Devaluation/Revaluation (Official govt action)

AGRICULTURE & RURAL DEVELOPMENT INFOGRAPHIC | PRELIMS 2026

SECTION 1: MSP MECHANISM & PM-AASHA



- ➔ MINIMUM SUPPORT PRICE
- ➔ DETERMINED BY CACP, APPROVED BY CCEA (CHAIRMAN BY PM)
- ➔ AT LEAST 1.5x COST OF PRODUCTION (A2+FL)
- ➔ 22 MANDATED CROPS + FRP for SUGARCANE



SECTION 1: PM-AASHA: PSS, PDPS, PPSS



- ➔ LEGAL RIGHT TO FOOD
- ➔ COVERAGE: 75% RURAL, 50% URBAN (~81 CRORE PEOPLE)
- ➔ ENTITLEMENTS:
 - ➔ AAY: 35kg/HH/month
 - ➔ PHH: 5kg/person/month

SECTION 4: AGRICULTURAL CREDIT



- ➔ MULTI-PERIL CROP INSURANCE
- ➔ PREMIUMS: 2% (KHARIF), 1.5% (RABI), 5% (COMM/HORT)
- ➔ VOLUNTARY for all Farmers (loanee & non-loanee)
- ➔ COVERAGE: PRE-SOWING to POST-HARVEST



SECTION 2: FOOD SECURITY & PDS (NFSA 2013)



- ➔ LEGAL RIGHT TO FOOD
- ➔ COVERAGE: 75% RURAL, 50% URBAN (~81 CRORE PEOPLE)
- ➔ ENTITLEMENTS:
 - ➔ AAY: 35kg/HH/month
 - ➔ PHH: 5kg/person/month

PM-GKAY
(FREE FOODGRAINS)

ONORC
(ONE NATION ONE RATION CARD)



LOCALIZED RISKS



WILD ANIMAL ATTACKS

SECTION 5: SHGs & MICROFINANCE



SHGs & MICROFINANCE

➔ COLLATERAL-FREE LOANS UP TO ₹2 LAKH

- ➔ SHG-BANK LINKAGE PROGRAM (NABARD)
- ➔ LAKHPATI DIDI SCHEME (TARGET: 3 CRORE WOMEN IN SHGs, ₹1 LAKH INCOME/year)
- ➔ DAY-NRLM: Collateral-free loans up to ₹20 Lakh
- ➔ MICROFINANCE is a Key PSL Component

SECTION 3: CROP INSURANCE: PMFBY



- ➔ MULTI-PERIL CROP INSURANCE
- ➔ PREMIUMS: 2% (KHARIF), 1.5% (RABI), 5% (COMM/HORT)

➔ VOLUNTARY for all Farmers (loanee & non-loanee)

➔ MODIFIED INTEREST SUBVENTION SCHEME (MISS):

➔ 7% LOAN

➔ 4% for Prompt Payment

➔ COLLATERAL-FREE LOANS UP TO ₹2 LAKH

KCC
(KISAN CREDIT CARD)
for CROPS,
ANIMAL HUSBANDRY,
FISHERIES

➔ PRE-SOWING TO POST-HARVEST

SECTION 6: RURAL EMPLOYMENT (MGNREGA)



- ➔ LEGAL RIGHT TO WORK
- ➔ DEMAND-DRIVEN: 100 DAYS of Unskilled Manual Work

REFORMS: ABPS
(Aadhaar), NMMS,
(National Mobile Monitoring System App)



WAGE
TRANSPARENCY



ASSET
CREATION



WAGE
CREATION

QUICK FACT SHEET FOR PRELIMS

MSP Crops: 22 Mandated + Sugarcane

PDS PHH: 5kg/person/month

PMFBY Rabi Premium: 1.5%

KCC Prompt Pay: 4%

MGNREGA Work Radius: 5km (+10% wage extra)